

THE WALL STREET JOURNAL.

DOW JONES | News Corp *****

FRIDAY, APRIL 4, 2025 ~ VOL. CCLXXXV NO. 78

WSJ.com

★★★★ \$5.00

DJIA 40545.93 ▼ 1679.39 3.98% NASDAQ 16550.61 ▼ 6.0% STOXX 600 523.12 ▼ 2.6% 10-YR. TREAS. ▲ 1 5/32, yield 4.054% OIL \$66.95 ▼ \$4.76 GOLD \$3,097.00 ▼ \$42.90 EURO \$1.1055 YEN 146.06

What's News

Business & Finance

◆ **U.S. markets plunged** in their steepest declines since 2020, as investors grappled with the threat that Trump's tariffs will invite global retaliation and hurt the economy. The S&P 500, Nasdaq and Dow shed 4.8%, 6% and 4%, respectively, and dozens of household-name stocks fell by double digits. **A1, A4, A6**

◆ **OPEC and its allies** agreed to make a larger oil output increase in May in a move that further weighed on tariff-hit crude prices. **B9**

◆ **The 10 biggest U.S.** consulting firms to the federal government offered to cut billions of dollars from their contracts with agencies. **A2**

◆ **A Guatemalan conglomerate** agreed to acquire SunnyD and other beverage brands in a roughly \$1.5 billion deal and said it would seek to expand the products' consumer base. **B1**

◆ **A small shareholder** launched a proxy fight at WeightWatchers' parent company, seeking board seats and hundreds of millions of dollars in cost cuts. **B1**

◆ **Verizon said it would** freeze rates for a broad spectrum of its customers in an effort to retain cellphone users annoyed by years of price increases. **B1**

◆ **Hershey agreed to a** roughly \$750 million deal for the popcorn brand LesserEvil, confirming an earlier report from The Wall Street Journal. **B3**

◆ **Puma said** Chief Executive Arne Freundt would leave the company because of differences with the board and named former Adidas executive Arthur Hoeld as his successor. **B3**

World-Wide

◆ **Economists said that** Trump's approach to trade, if not rolled back, could rival President Richard Nixon's 1971 decision to overturn arrangements created by the U.S. and its allies during World War II. **A4**

◆ **The National Security Agency** chief, Gen. Tim Haugh, was fired on the direction of the White House, along with his civilian deputy, Wendy Noble. Several National Security Council staffers were dismissed earlier. **A3**

◆ **South Korea's Constitutional Court** ousted President Yoon Suk Yeol over his short-lived declaration of martial law, clearing the way for a snap vote to elect a new president. **A9**

◆ **The Trump administration** escalated its campaign against American universities by preparing to pull \$510 million in federal grants from Brown University. **A3**

◆ **The Office of the Inspector General** at the Pentagon said it began a review into Defense Secretary Pete Hegseth's sharing of military plans ahead of U.S. strikes on Yemen in a Signal chat group. **A3**

◆ **HHS Secretary Robert F. Kennedy Jr.** said he would reinstate some programs and federal workers cut earlier this week as part of his sweeping reorganization of the department. **A3**

◆ **Hungary said it would** withdraw from the International Criminal Court, a declaration that coincided with a visit to Budapest by Israeli Prime Minister Benjamin Netanyahu, the object of an ICC arrest warrant. **A16**

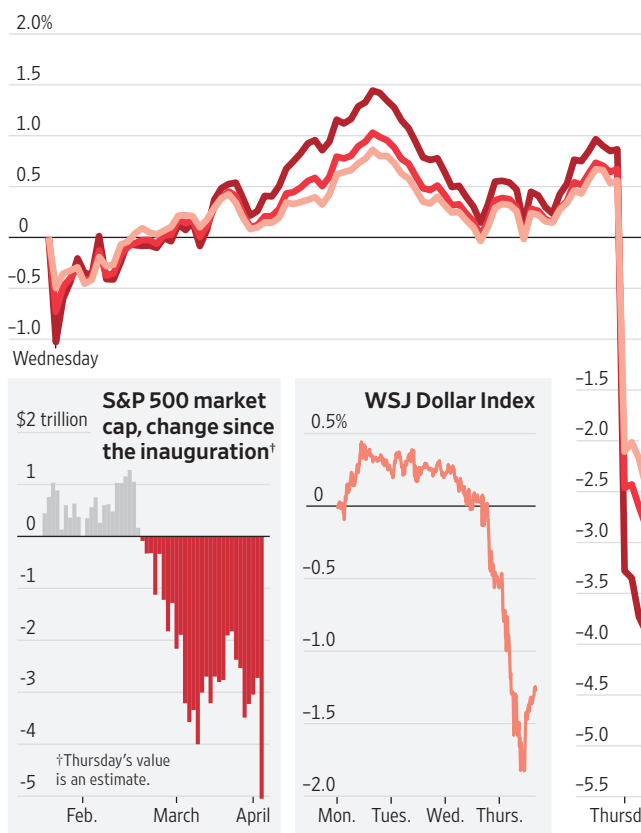
CONTENTS		Markets.....	B9
Arts in Review.....	A10-11	Markets Digest.....	B7
Business & Finance.....	B25	Opinion.....	A13-15
Business News.....	B3	Sports.....	A12
Crossword.....	A11	Technology.....	B4
Heard on Street.....	B10	U.S. News.....	A2-8
Mansion.....	M1-18	World News.....	A9,16



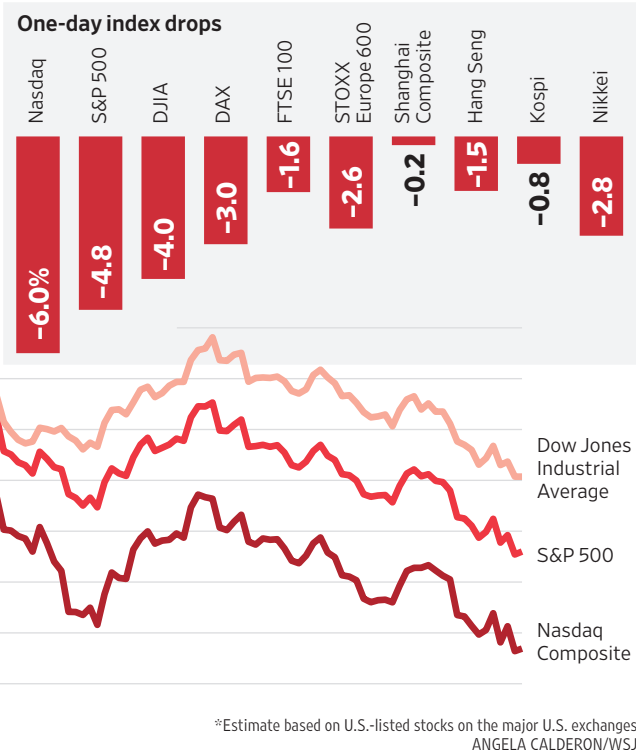
© 2025 Dow Jones & Company, Inc. All Rights Reserved

Stocks Suffer Steepest Slide Since 2020

U.S. index two-day performance



Trump's tariff announcement rippled through world markets Thursday and led to the biggest U.S. market-cap drop—approximately \$3.1 trillion*—since March 2020.



Dow drops 1,679 points as tariffs are more severe than investors expected

U.S. markets plunged Thursday in their steepest declines since 2020, as investors grappled with the threat that President Trump's new tariff plan will trigger global retaliation and hurt the economy.

By Gregory Zuckerman, Krystal Hur and Gunjan Banerji

Stocks lost about \$3.1 trillion in market value Thursday, their largest decline since March 2020.

The Dow industrials dropped 1,679 points, or 4%. The tech-heavy Nasdaq, which powered the market higher for years, was down 6%, pulled lower by big declines in Nvidia, Apple and Amazon.com. The S&P 500, which fell 4.8%, and the other benchmarks, suffered their sharpest declines since the early days of the pandemic.

Asian stocks extended the losses in Friday morning trading. Japan's Nikkei Stock Average finished the morning session down 2.6%, following a 2.8% decline on Thursday. South Korea's Kospi pared earlier losses and was down 0.5%, while markets in Hong Kong and China were closed for a holiday.

Some of the U.S.'s allies came out swinging. President Emmanuel Macron of France said Europe is weighing retaliation against U.S. tech firms, while Prime Minister Mark Carney of Canada said his country will match Trump's auto tariffs with 25% tariffs of its own.

Dozens of household-name stocks posted double-digit declines, including HP, Nike and Target. Stellantis also fell sharply. The Jeep maker said it is temporarily halting production at its auto assembly factory.

Please turn to page A8

Trump's Tariffs Buffet Businesses As CEOs Rush to Deal With Fallout

Business leaders scrambled to assess how President Trump's latest tariffs would affect their companies, with

By Theo Francis, Inti Pacheco and Alistair MacDonald

many top CEOs staying silent as the president's new policies made the cost of doing business in the U.S. much steeper. Restoration Hardware Chief Executive Gary Friedman was on a call with analysts talking about the furni-

ture retailer's strategy and how the housing market could slow in this economic environment when the tariff news broke. He asked colleagues to get a "live read" of his business to check how the company's stock was doing.

"Oh, really? Oh, s—, OK," Friedman said in the moment. "Everybody can see in our 10-K where we're sourcing from, so it's not a secret."

More than 70% of the furniture company's products come from Asia, its annual report shows, including 35% from

Vietnam and 23% from China, where steep new duties were put in place.

The stocks of some big U.S. businesses fell on fears the new trade barriers would swallow their profits. Jeep-maker Stellantis, which owns the Chrysler and Dodge brands, said it would halt production at some Canadian and Mexican plants.

Wall Street bankers and business leaders have spent weeks trying to understand—and shape—Trump's ever-shifting tariff plans. Many also believed—as they were reas-

sured by some in Trump's inner circle—that the potential levies were negotiating tactics the businessman-turned-politician would use to extract concessions from trading partners and adversaries.

Instead, Trump unveiled 10% across-the-board tariffs, and even higher levies on Europe and countries including Japan, South Korea and Vietnam. The new levies will push up the cost of many goods from China—from toothbrushes to televisions—by

Please turn to page A7

President Looks to the Past to Remake the Economy

Trump dreams of new factories and towns revitalized by tariffs, but stocks plunged on fears of hit to growth

By BRIAN SCHWARTZ AND GREG IP

As investors and consumers fretted in recent weeks about the fallout if President Trump unleashed a massive trade war, Trump himself kept looking to the past.

The rest of the world has been ripping off the U.S. for 40 years, he told advisers who asked him to articulate his vision. It was, he and his advisers would note, an argument he has been

making on television since the 1980s. Before his second term ends, he said, he feels he has to right those wrongs.

If people complained about the tariffs, Trump told his inner circle to remind the public of his view of how the U.S. once was and could be again: a place with thriving Main Streets and hometowns, where American workers made American products sold to the American public.

Trump leaned into that vision with

his market-shaking tariff announcement Wednesday. "Empty, dead sites, factories that are falling down...will be knocked down, and they're going to have brand new factories built in their place," he said, to an audience that included members of the United Auto Workers union. "We're going to be an entirely different country."

The tariffs Trump announced would lift the average duty above the previous peak of 1930. It is by far the most

disruptive component of an agenda that may be one of the most disruptive of any new president since the 1930s, one that includes slashing immigration, government spending, taxes and regulations.

Perhaps the most striking aspect of Trump's dramatic move to reposition the American economy is the timing. The economy he inherited was the envy of the world with growth of 2.8%

Please turn to page A8

James Mackintosh: Market carnage could be just a start A4	Global economic order gets reshuffled A4	Breaking down the trade imbalance in charts A6	White House whirlwind that led to all-out tariff strategy A7	Heard on the Street: Why Trump's tariffs sank the dollar B10
--	---	---	---	---

Leader Ousted In South Korea

A ruling by the Constitutional Court of South Korea that removed impeached President Yoon Suk Yeol from office touched off celebrations Friday in Seoul. An election must be held within 60 days. **A9**



North Korean Hackers Steal Billions in Crypto To Keep Regime Afloat

At 11:49 a.m. on July 18, North Korean hackers pounced on a major cryptocurrency exchange handling hundreds of millions of dollars.

By Patricia Kowsmann in Singapore and Timothy W. Martin in Seoul

The hackers slipped into the exchange's virtual vault, took control and then started pilfering cryptocurrency tokens. Within a little more than an hour, the hackers had disappeared—and with them, more than \$200 million for the Kim Jong Un regime.

The shocking theft at WazirX, India's largest cryptocurrency exchange, along with several other major recent heists, has made it clear: North Korea is now the world's most dangerous crypto thief.

It has swiped more than \$6 billion in cryptocurrency over the past decade—a sum so large

that no one else compares.

The country's hackers are patient and brazen, investigators said. To get into companies' computers, they comb through employees' Facebook and Instagram pages and invent stories to trick them into clicking on links with viruses. Some North Korean hackers have even become employees, fooling U.S. companies into hiring them as remote IT workers and gaining access to their networks.

After grabbing their bounty, North Korean hackers are masters at escaping. At WazirX, investigators believe they used algorithms to spread funds through global crypto networks faster than any human could, making it almost impossible for authorities to catch up. Once the crypto is dispersed, North Koreans often lie low until investigators move on, waiting months or years to convert their haul into traditional money.

Please turn to page A9

Raising Chickens Isn't All It's Cracked Up to Be

Backyard egg-layers can be messy, costly; 'We put the kibosh on it.'

By TE-PING CHEN AND ROSHAN FERNANDEZ

Carol Lewis has no regrets about how she voted on the chicken issue.

As a longtime member of the St. Cloud, Minn., city council, she'd heard all the arguments. At a December meeting, locals

argued backyard chickens would offer a cheaper source of eggs. One resident said chickens would simply be "awesome."

Lewis, who left the council this year, was unmoved. "We can't even seem to get people to mow their lawns these days. I don't know how we're going

to keep chicken coops clean," she told the crowd before voting "nay" on the measure, which would have allowed backyard chickens at some homes.

Her grandmother, who raised chickens, always told her they were "dirty birds," she

Please turn to page A2